MD&A

1. **Macroeconomy insights**
   The report clearly lists down the following macroeconomic trends and statistics:
   a. FY 22 witnessed fewer economic disruptions as opposed to FY 20 and FY 21 majorly due to the fact that stronger COVID-19 protocols and the rollout of vaccines curtailed the 2nd and 3rd waves of the Covid pandemic.
   b. Cause of disruptions in FY 22 was primarily an unprecedented cost inflation in commodity prices.
   c. Global economy has grown to 6.1% in 2021 and is projected to moderate to 3.6% in 2022.
   d. Indian economy witnessed a decline of 7.3% in 2020-2021 due to covid pandemic. However, with situations normalizing, 2021-2022 saw India's GDP grow by 8.7%.

2. **Industry Insights**
   a. Manufacturing in India is expected to bloom primarily due to the following two reasons
      i. Businesses' willingness to reduce their dependency on China post-COVID
      ii. Strengthening of India's "Aatmanirbhar" Initiative.
   b. Major drivers of the Consumer durables industry include
      i. Weakening of pandemic
      ii. Stabilization of commodity prices
      iii. Growth on the back of rising rural incomes, increasing urbanization, a growing middle class, and changing lifestyles.

3. **Company-specific Insights**
   a. Financial Analysis
      i. Performance
         1. Revenue for FY 22 grew by 28.7% to ₹ 3,475 crore despite the disruptions in the supply chain due to the pandemic. Raw material cost inflation has been another factor that has had an adverse effect on gross margins.
         2. EBITDA margin contracted by 180 basis points to 9.6% of revenues and PBT grew by 1.9%. Effective tax was lower as the company shifted to the new tax regime.

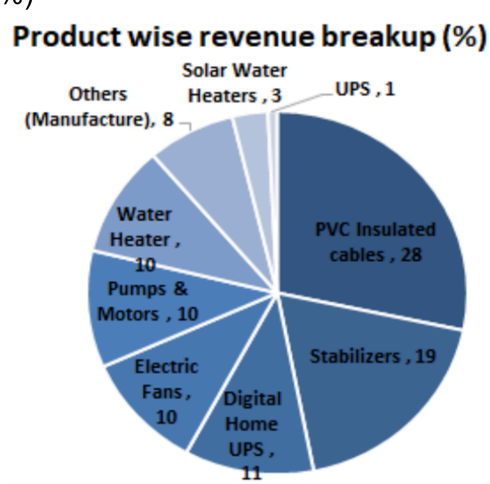
      ii. Insights from the Balance sheet snapshot

Balance Sheet Snapshot (₹ cr)	31 Mar 2022	31 Mar 2021	31 Mar 2020
Net worth	1,402.5	1,207.8	993.8
Gross debt	10.0	10.0	10.0
Current investments	0.0	0.0	36.0
Cash and cash equivalents	53.9	281.1	111.5
Net cash position	43.9	271.1	137.5
Fixed Assets	416.5	373.3	334.4

Balance Sheet Snapshot	31 Mar 2022	31 Mar 2021	31 Mar 2020
Debtor (days)	50	52	47
Inventory (days)	129	124	105
Creditor (days)	73	93	66
Working capital turnover (days)	106	83	86
RoE (%)	16.2%	16.5%	18.6%
RoCE (%)	20.3%	22.2%	22.5%

1. Although the net worth of the company grew from 1207.8 Cr. in 2021 to 1405.5 Cr. in 2022, the net cash position dropped from 271.1 Cr. in 2021 to 43.9 Cr. in 2022. Since gross debt remained the same, the cash has not been utilized in the repayment of debt. The increase in fixed assets by 43.2 Cr. (416.5 Cr. - 373.3 Cr.) and a dividend payout of 56.1 Cr still don't reconcile with a 194.7 Cr. increase in net worth. One potential reason for this could be the increase in operational expenses from setting up a new business subsidiary y 'V-Guard Consumer Products Ltd (VCPL)', however no data on the same has been included in the report, hence making it a little ambiguous.
2. An increase in the Inventory conversion period can indicate cash tied in inventory due to supply chain disruptions during the pandemic. This can also be an indication of reduced sales which also seem to align with the increase in working capital (days).
3. An almost constant ROE and ROCE is a good indication despite the ups and downs that the pandemic had brought for the company.

b. **Segment-wise Analysis of the company:** The three major sectors the company focuses on include Electricals(45.9%), Electronics(23.5%), and Consumer durables(30.6%)



i. **Electronics:** The company is a market leader in electronics, more specifically the voltage stabilizers category. Despite the growth dip witnessed during the pandemic, the segment is blooming with a 7.4% YoY growth from FY 21 to FY 22.

ii. **Electricals:** The category which contributes the biggest chunk to the company's revenues comprises house wiring cables, pumps, switchgear, and modular switches. Given all of the above are closely related to the construction industry, the growth rebound for the sector was robust once the markets opened up.

iii. **Consumer Durables:** The sector witnessed a 44.4% growth in FY 22. This sector comprises fans, water heaters, kitchen appliances, and air coolers. The introduction of app-controlled smart fans and BLDC fans combined with the growing acceptance of the product range has delivered strong growth in the fans category. New product launches in the kitchen's appliances range and the increased sales from e-commerce platforms also promise potential for this segment.

c. **Dividend Policy:** The dividend payout stands at 25% for the 2021-2022 year. The board recommended Rs.1.3 per share as the final dividend, amounting to 56.10 crores being distributed as dividends which was slightly less than 56.62 Cr which were distributed as dividends in 2020-2021. However, overall the fact that the company has maintained its dividend amount is a good indication of its stock.

4. Business Strategy

1. Segment specific:

i. In the Digital UPS segment, the Company has undertaken several initiatives toward premiumization which will enable deeper consumer engagement, better pricing power, and higher margins. This category is a key growth driver for the Company as it continues to expand into under-penetrated regions that are power deficient with regular outages.

ii. The companies' strategic acquisition of Simon Electric Private Limited (SEPL) from SIMON, SA, and an acquisition of a production unit in Hyderabad in 2018 will help in establishing a strong manufacturing base and access to product capabilities in premium and super premium ranges in the Electricals Segment.

iii. The company is currently focussing on rooftop residential solar water heaters which are sold to both individual consumers as well as institutional buyers because the category has long-term potential in light of growing environmental consciousness amongst customers and a shift from electric water heaters.

iv. Future M&A opportunities would be largely centered on segments/categories that the Company has recently entered into – consumer durables, wiring accessories, and kitchen appliances.

2. Overall

a. The company plans to add 3000-5000 retailers across the country with a special focus on the non-southern regions.
b. The company has expanded its distribution to online channels and is currently leveraging it for brand building, advertising and promotions.
c. The company plans on transitioning to in-house manufacturing through V-Guard Consumer Products Ltd., a wholly-owned subsidiary of Company

5. Industry Competition

Segment Category	**Major competitors**	**Market Share**
Voltage Stabilizer	Microtek, Syspro Axvolt.	42-45%
Digital UPS	Luminous Power Technologies, Genus Power Infrastructures, Su-Kam Power Systems, Microtek International	4-6%
PVC wiring cable	Polycab, finolex, Havells	6-8%
Pumps	Crompton, Texmo, CRI	8-10%
Fans	Crompton, Usha, Havells	3-5%
Electric Water Heaters	Racold, Bajaj, Venus, Havells	14-16%
Solar Water Heaters	Emmvee, Tata BP	14-16%
Kitchen Appliances	Bajaj, Prestige, Sunflame	-

6. SWOT Analysis

a. Strengths

i. **High Brand Recall** due to heavy investment in brand equity building over the past decade
ii. **Robust After-Sales Service** reflects the consumer-centric sentiment of the company. This combined with quality, innovation, R&D, and new product development has been one of the key strengths of the company.
iii. **Expansion of Infrastructure:** The company has a strong pan-India footprint with over 50,000 retail touchpoints across the country and a plan to open 3000-5000 more to the list each year.
iv. **Comprehensive and diversified product portfolio:** Fast-growing categories in the consumer electricals, electronics, and durables space caters to the mass consumption market of India.

v. **Strong execution track and strong management:** The company has continuously depicted an ability to grow over the years. The highly skilled workforce is a result of V-guard's constant investment in their training.
vi. **Increased In-house Manufacturing:** The company has increased in-house manufacturing over the past decade to reduce dependency on outsourcing.

b. **Weaknesses**
   i. **Raw Material Cost Inflation:** Given the inflation in raw material cost and the overall volatility surrounding it, V-Guard has witnessed its negative impact in the past few years with decreasing EBITDA and Gross margins. This dependency might turn out to be harmful in case inflation continues for a few more years
   ii. **High D/E ratios and slow repayment of debt:** The report depicts an increasing D/E ratio which is alarming. Additionally, the gross debt stands stagnant at 10 Cr. on the balance sheet indicating overall debt repayment is slow.
   iii. **Late adoption of E-commerce distribution:** As compared to its competitors like Havells, Crompton, and Microtek, V-Guard was a bit slow when it comes to the adoption of e-commerce distribution channels, providing its competitors an edge over it.

c. **Opportunities**
   i. **Leader's Advantage in Voltage stabilizers:** The Company is the market leader in Voltage Stabilizer category. Competitors are largely regional players with limited presence.
   ii. **Expansion to Non-Southern regions:** Non-South markets account for 42% of the Company's current revenues providing significant scope to expand and gain market share.
   iii. **Shift from Unorganised to Organised Sector:** The company's penetration in in its key product categories still has a lot of headroom for established brands to benefit and the company plans on leveraging this.
   iv. **Increase in Replacement Demand:** Rising incomes, changing middle-class preferences, and the company's focus on technology and innovation have led to shortened renovation cycles.

d. **Threats**
   i. **Global Recession:** The global economy is witnessing a recession which will lead to disruptions in prices, supply chain, and distribution networks, hence posing a threat to V-Guard specifically because its business heavily relies on a smooth supply chain.
   ii. **Hyper Competition in Marketplace:** New players have been entering the market leading to aggressive pricing and other trade practices. This combined with already existing pressure margins can pose a potential threat to the company.
   iii. **Cyber Security:** Due to the increased threat of cyber security incidents globally, IT downtime and data loss can adversely impact business operations.

iv. **Large Dependence on the Indian Market:** Although V-Guard has a well-diversified product portfolio and is also planning to expand to southern Indian regions, it is still dependent on the Indian market majorly making it subject to higher volatility as compared to global competitors.

S	W	O	T
Strengths	**Weaknesses**	**Opportunities**	**Threats**
• High Brand Recall • Robust After-Sales Service • Expansion of Infrastructure • Comprehensive and diversified product portfolio • Strong execution track and strong management • Increased In-house Manufacturing	• Raw Material Cost Inflation • High D/E ratios and slow repayment of debt • Late adoption of E-commerce distribution	• Leader's Advantage in Voltage stabilizers • Expansion to Non-Southern regions • Shift from Unorganised to Organised Sector • Increase in Replacement Demand	• Global Recession • Hyper Competition in Marketplace • Cyber Security • Large Dependence on the Indian Market

What in your opinion is the most important aspect of MD&A for the company for its future?

We believe that a side-by-side comparison of the financials along with their potential backing reasons is the most important MD&A section of the annual report. Additionally, the SWOT Analysis helps us understand the overall standing of the company in the market hence giving us enough pointers to build our future projections about the company.

Is your finding of this year's MD&A relatable to its past stock price performance?

The MD&A of V-Guard relates to its past stock performance in the following instances:

1. **COVID:** MD&A mentioned that COVID led to a decline in the company's performance. The same is reflected in the stock prices. The stock price hit an all-time low on 03 April 2020 in a 5-year time frame. Similarly, the upliftment of the lockdown led to the stock being traded at an all-time 5-year high.
2. **Release of Annual Report:** The annual report was filed by the company on 4th July 2022. If one looks at the past 6 months' analysis, the stock prices after 4th July have seen a decent increase. This is clearly justified by the fact that MD&A has succeeded in forming a positive outlook for investors, hence leading to an increase in price.

3. **Record Date(July 22, 2022):** The stock price saw a plunge between 21st July and 22nd July with an increase in traded volume, leading us to conclude that the record date saw an increase in buyers, which is typical for companies before the record date for dividend distribution.
4. **'V-Guard Consumer Products Ltd (VCPL)':** The company's new wholly-owned subsidiary began its operations in March 2022. The stock price went up by 12.5% during the week leading up to 3rd March.

Does MD&A help you analyze the financial performance of the company reported?

Yes. MD&D does help one analyze financial performance more meticulously. One can confer the data inferences drawn from Balance sheets and income statements with actual subjective decisions or strategy changes that a company has made during the year. This increases confidence in one's analysis of the raw data.
For instance, from our balance sheet snapshot analysis, a significant drop in cash holdings without much increase in fixed assets or repayment of debt indicated that the cash is being utilized in operations heavily. This was later confirmed in the latter section of MD&A. The cash drop went into the operating expenses for the newly acquired subsidiary of the company. Given that MD&A also talks about the future goals and approaches to new projects for any company, it also gives us a broad idea about how the company would be channeling its funds into different projects. For instance, in the case of V Guard, an investment in a new subsidiary might keep the country from taking up any new investments early on in FY 23. The focus would hence be on replenishing the cash reserve that had gone down during FY 22.

Important information in Chairman's Message

1. **Scheme of Arrangement with Simon Electric Private Limited:** This acquisition is expected to provide the Company access to produce products in the premium and super premium ranges. It would also act as a ready manufacturing facility which will bring cost competitiveness
2. **Formation of Subsidiary:** Company has formed a wholly owned subsidiary called V-Guard Consumer Products Limited (VCPL) which would focus more on manufacturing and development activities. This activity is part of the company's greater agenda of shifting to in-house manufacturing and reducing outsourcing.
3. The director **recommended a dividend distribution** of 56.1 Cr (Rs. 1.3 per equity share) for shareholders/ Beneficial Owners whose names appear in the Register of Members / Register of Beneficial Owners respectively as on July 21, 2022.